

Contemporary issues of Business

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Communicating in contemporary business environment

- Communication theory
- Social networking
- Web-based information
- Business ICT environment
- Talking to non-accountant
- Knowledge sharing
- Teleworking

Social business

- A social business is a company created for social benefit rather than private profit. It is known as “Yunus Social business (YSB)”.

Social business

Seven principles of social business

- Business objective will be to overcome poverty or one or more problems (such as education, health, technology access, and environment) which threaten people and society; not profit maximization
- Financial and economic sustainability
- Investors get back their invested amount only; no dividend is given beyond investment money
- When investment amount is paid back, company profit stays the company for expansion and improvement
- Environmentally conscious
- Workforce gets market wage with better working condition
- Do it with joy.

Green or sustainable business

- Sustainable business or green business is an enterprise to be that has minimal negative impact on the global or local environment , community, society or economy. Four criteria for green business:
 - a. It incorporates principles of sustainability into each of its business decisions.
 - b. It supplies environmentally friendly products or services that replace demand for no green products and/or services
 - c. It is greener than traditional competition
 - d. It has made an enduring commitment to environmental principles in its business operations.

Corporate sustainability strategies

- a. Innovation and technology
- b. Collaboration
- c. Process improvement
- d. Sustainability reporting

Green business in Bangladesh

- Grameen Shakti (GS) – is the market leader in installing solar based technologies for various uses.
- Green Technology centre (GTC) – It trains daily hundreds of women about the use of green technology and production of organic food. .
- Fertilizer: A small scale biogas plant based on cow dung can produce more than 8000 kilograms of slurry which is important source of fertilizer.
- Brick field: Under the project of united nations development program (UNDP), the brick field in Dhamri use the environment friendly Hybrid Hoffman Kiln (HHK) technology to avoid green house gas emissions.
- Bangladesh renewable energy society:

Standards of green business

- ISO 14001 is the cornerstone standard of the ISO 14000 series. It specifies a framework of control for an environmental management system. Other ISO 14000 series standards are actually guidelines.
- ISO 14004 provides guidance on the development and implementation of environment management system
- ISO 14010 provides general principles of environmental auditing
- ISO 14011 provides specific guidance on audit an environment management system

Six essential characteristics of green business

- Triple top line value production: Financial benefits for the company, natural world betterment, and social advantages for employees and members for the local community.
- Nature based knowledge and technology
- Product of service to product of consumption
- Solar, wind, geothermal and ocean energy
- Local based organizations and economies
- Continuous improvement process.

E-business

- Electronic business or e-business can be defined as the application of information and communication technologies in support of all the activities of business.

E-business and e-commerce

- E- business refers to more strategic focus with an emphasis on the functions that occur using electronic capabilities.
- E – commerce is a subset of an overall e-business strategy.

E – business model

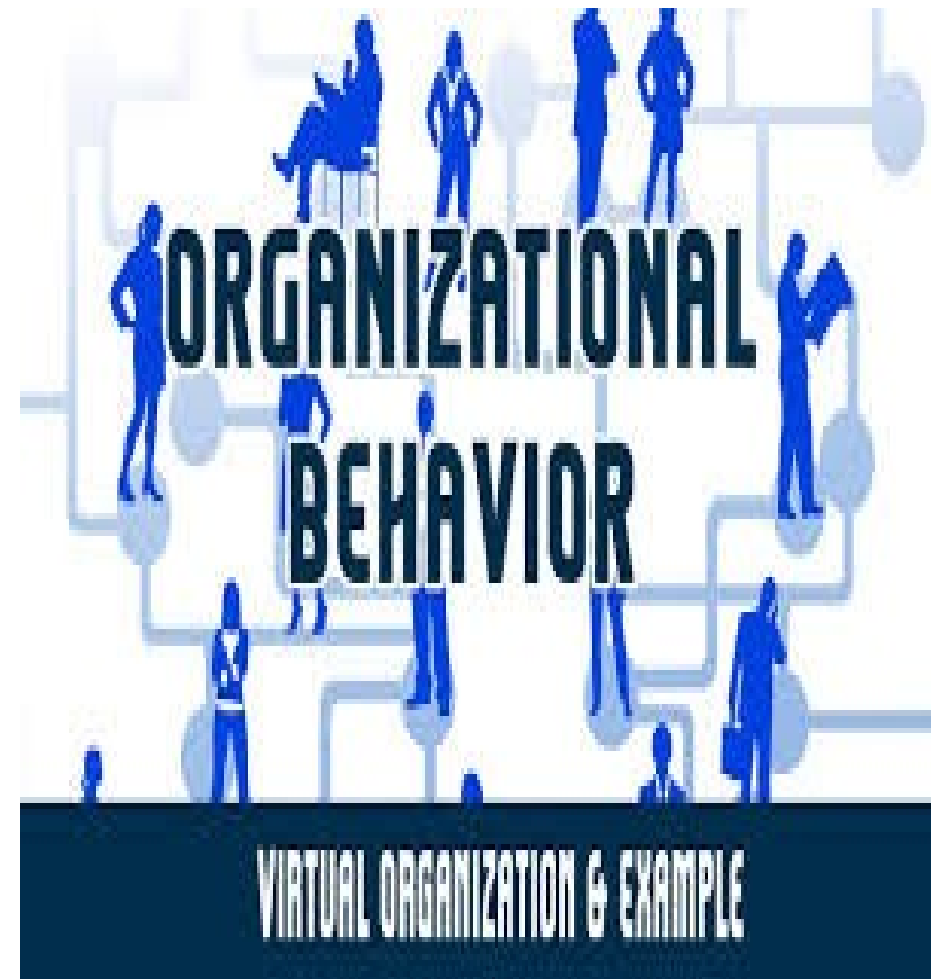
E – business model	Classification by provider and consumer
E – shop	Business to business (B2B)
E – commerce	Business to Consumer (B2C)
E-procurement	Business to employee (B2E)
E- mails	Business to Government (B2G)
E- auctions	Government to Business (G2B)
Virtual communities	Government to government (G2G)
	Government to citizen (G2C)
	Consumer to consumer (C2C)
	Consumer to business (C2B)

Virtual business

- Virtual Business: A virtual business employs electronic means to transact business.
- Virtual corporations: Groups of people can assemble online and enter into an agreement to work together toward a for profit goal, with or without having to formally incorporate or form a traditional company.
- Virtual enterprise: A virtual enterprise is a network of independent companies suppliers, customers, competitors, linked by information technology to share skills, costs, and access to one another's markets.

A virtual organization

A virtual organization is a temporary or permanent collection of geographically dispersed individuals, groups, organizational units, or entire organizations that depend on electronic linking in order to complete the production process (working definition).



Boundary less organization

- An association where management has largely succeeded in breaking down barriers between internal levels, job functions and departments, as well as reducing external barriers between the association and those with whom it does business.
- Modular business
- Virtual business
- Strategic alliance
- Network organization.

Modular Business

- The concept behind Modular Business is that each business is unique, but all businesses share some basic processes and functions. Those functions can be considered Business Modules that fit together to build a complete, profitable business.
- Google, Amazon, 3M.

Strategic alliance

- A **strategic alliance** is an arrangement between two companies to undertake a mutually beneficial project while each retains its independence. The agreement is less complex and less binding than a joint venture, in which two businesses pool resources to create a separate business entity.
- RIMAS is pleased to announce a strategic alliance with GRAM. This is the start of a cooperation that must lead to a strong driving force and franchise formula for the production of solar panels in the Bangladesh region.

Network organization

- A network organization is a collection of autonomous firms or units that behave as a single larger entity, using social mechanisms for coordination and control. The entities that make up a network organization are usually legally independent entities (separate firms) but not always.
- An organization that has been using network structure is H&M (Hennes & Mauritz), a very popular brand that has followers world over. H&M has outsourced the production and processing of their goods to different countries majorly Asian and South East Asian countries.

Characteristics of boundary less organization

1. Eliminate the chain of command, have limited spans of control, and replace departments with empowered team
2. Technology based organization
3. By removing vertical boundaries , management flattens the hierarchy and
 - Minimize status and rank
 - Uses cross hierarchical teams
 - Uses participative decision making practices
 - Uses 360 degree performance appraisal

Characteristics of boundary less organization

4. Reduce horizontal boundaries of functional department by
 - Replace functional departments with cross functional teams
 - Use lateral transfers and rotate people into and out of different functional areas.
5. Break down barriers to external constituencies (suppliers, customers, regulators, etc.) and barriers created by geography.
6. Common trend of boundary less organization in networked computers.

Corporate governance

- Corporate governance is the system of rules, regulations, practices, and processes, by which a company is directed, operated, monitored, controlled and reviewed with the lens of welfare being of stakeholders.
- Corporate governance essentially involves balancing the interests of a company's many stakeholders such as financiers, shareholders, debenture holders, sponsors, management, suppliers, consumers, lender, borrowers, creditors, debtor's, political activists, pressure groups, free rider, CSR, government and the local community.

Corporate governance

- Deregulation, disintegration, and institutionalization are the main feature of corporate governance of Bangladesh. But due to the non-constitution of different committees, rapidly changes in different laws and actions.
- Unethical pressure from the majority of shareholders while decision making, lack of political will and commitment to ensure sound corporate governance. Moreover, the corporate structure is dominated by family members over the board which practice hinders the level of fairness. accountability, and transparency.

Public private partnership

- The concept of PPP though not relatively new but has not yet developed and defined straight forward (World Bank, 2007a). According to Asian Development Bank, PPP is a range of possible relationships among public and private entities in the context of infrastructure and other services that present a framework for engaging private sector and also structure the role for government in ensuring that social obligations are met (ADB, 2008).
- PPP have gained utmost attention from the public sector and donor groups particularly in terms of service quality, procurement efficiency, risk minimization and the ability to combine adequate managerial and technical capabilities.

Ethics and CSR

Ethics – A set of moral principles or values that governs the conduct of an individual or a group.

What is lawful conduct is not always ethical conduct.

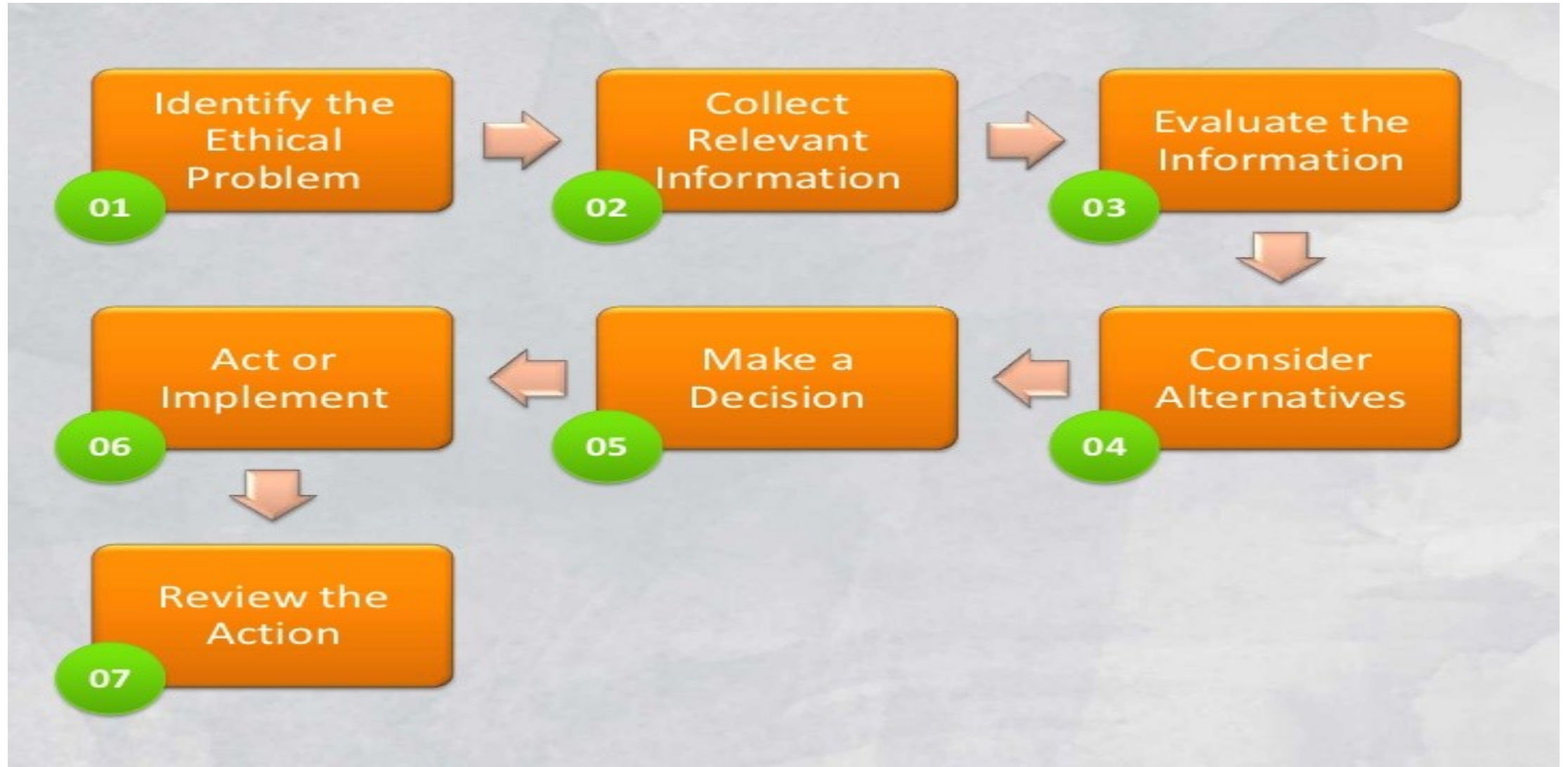
The law may permit something that would be ethically wrong.

Corporate social responsibility (CSR), is the idea that business has a duty to serve society in general as well as the financial interests of stockholders.

Ethical decision making

- Ethical decision making is a cognitive process that consider various ethical principles, rules and virtues and maintenance of relationships to guide or judge individual or group decisions or intended actions.

Ethical decision making



Ethical decision making

01 Identify the Ethical Problem

The decision maker must be able to determine:

- if there is a possible violation of an important ethical principle, societal law, or organizational standard or policy
- if there are potential consequences that should be sought or avoided that emanate from an action being considered to resolve the problem.



Ethical decision making

02 Collect Relevant Information

- The decision maker should seek to gather as much information as possible about which rights are being forsaken and to what degree.
- A consequential focus would prompt the decision maker to attempt to measure the type, degree, and amount of harm being inflicted or that will be inflicted on others.



Ethical decision making

03 Evaluate the Information

- Once the information has been collected, the decision maker must apply some type of standard or assessment criterion to evaluate the situation.
- The decision maker might use one of the predominant ethics theories—utilitarianism, rights, or justice.



Ethical decision making

04 Consider Alternatives

The decision maker needs to generate a set of possible action alternatives, such as:

- confronting another person's actions,
- seeking a higher authority, or
- stepping in and changing the direction of what is happening.



Ethical decision making

05 Make a Decision

- The decision maker should seek the action alternative that is supported by the evaluation criteria used in Step 3.
- A decision maker selects a course of action that is supported by all the ethics theories or other evaluation criteria used in the decision-making process.



Ethical decision making

06 Act or Implement

- The decision maker, if truly seeking to resolve the problem being considered, must take action.
- Once the action alternatives have been identified in Step 4 and the optimal response is selected in Step 5, the action is taken in Step 6.



Ethical decision making

07 Review the Action

- Once the action has been taken and the results are known, the decision maker should review the consequences of the action.
- If the optimal resolution to the problem is not achieved, the decision maker may need to modify the actions being taken or return to the beginning of the decision-making process



Labor issues in Bangladesh RMG sector

- Existence of poor compliance standards
- Lack of safety measures
- Frequent labor unrest
- Poor wage
- Low productivity
- Lack of trade unionism and collective bargaining rights
- Existence of forced labor
- Unhealthy working conditions

Contemporary business ideas

- Green cleaning
- College advisor
- Social media consultant
- Blogging
- Farmer's market grocery delivery
- Kids spas
- Handmade cards
- Female handyman

Contemporary business ideas

- Etsy list agent: *Etsy* is an American e-commerce website focused on handmade or vintage items and craft supplies. Etsy list agent works for designer.
- Tutoring
- Empty nester catering
- Personal concierge
- Property manager
- Community personal trainers
- Nutrition consultant

Contemporary business ideas

- Pie bakery
- Corporate physical trainer
- Image consultant
- Phone app developer
- Personalized product designer